Tentative Rulings for June 29, 2026
Department 7

To request oral argument, you must notify Judicial Secretary Molly Frabotta at (760) 904-5722 and inform all other counsel no later than 4:30 p.m.
ANY REQUESTS FOR ORAL ARGUMENTS WILL BE HEARD ON 7/15/26

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at Riverside Superior Court-Tentative Rulings.. If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 7 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

For information and instructions on remote appearances via **ZOOM**, visit the court's website at Riverside Superior Court-Remote Appearances

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252, 1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: 161 766 6465

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVRI2405996	CLOUD VS FCA US, LLC.	MOTION TO COMPEL

Tentative Ruling:

Defendant's UNOPPOSED Motion to Compel Responses, Set one, is granted.

Trial Setting Conference is set for 9/29/26.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2407275	LC CUSTOM & SPECIAL FINISHES VS ROEBUCK CONSTRUCTION GROUP LLC,	DEMURRER ON 2ND AMENDED COMPLAINT

Tentative Ruling:

Defendant's Demurrer, as to the 6th cause of action is sustained with 20 days leave to amend; as to the 1st, 2nd, 3rd, 4th, 7th, 8th, 9th, 10th and 11th causes of action, it is overruled.

Code of Civil Procedure § 430.41 requires a meet and confer process via *phone, videoconferencing, or in person* before filing a demurrer. The meet and confer process requires the moving party to identify the causes of action or allegations subject to attack and the plaintiff to provide legal support for its position. (CCP § 430.41(a)(1).) The parties must meet and confer at least 5 days before the responsive pleading is due. (*Id*. § 430.41(a)(2).)

Here, Defendants' counsel sent only one letter on 5/19/26 to which Plaintiff did not respond. (Follett Decl., ¶ 2.) A unilateral letter does not satisfy the statutory requirements.

REQUESTS FOR JUDICIAL NOTICE

Plaintiff seeks judicial notice in support of its previously filed FAC, demurrer, and notice of ruling on the demurrer. The court declines to consider these since they are not dispositive.

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly alleged, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley* *v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

ALTER EGO

Defendants argue that Plaintiff failed to allege specific facts to support an alter ego theory. A plaintiff, however, is not required to plead every evidentiary fact to establish alter ego liability. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 236.) Plaintiff is only required to allege "ultimate rather than evidentiary facts." (*Ibid*; citing *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550.) "Assuming these facts can be proved," defendants "may be held liable ... under the alter ego principle." (*First Western Bank & Trust Co. v. Bookasta*, supra, 267 Cal.App.2d 910, 915)
To survive a demurrer, an alter-ego claim must plead facts showing "(1) that there be such *unity of interest* and ownership that the separate personalities of the corporation and the individual no longer exist and (2) that, if the acts are treated as those of the corporation alone, an *inequitable result* will follow." (*Mesler v. Bragg Management Company* (1985) 39 Cal. 3d 290, 300; emphasis added.)

Here, the SAC sufficiently pleads these elements for the demurrer stage. It alleges a unity of interest by asserting that "Mr. Roebuck operated Roebuck LLC as a mere shell entity, maintaining no corporate formalities or separation between personal and business activities; Roebuck LLC was inadequately capitalized, with Mr. Roebuck freely commingling personal and corporate funds; and that Defendant Roebuck exercised complete dominion over all corporate decisions, particularly regarding payment to subcontractors, using Roebuck LLC's corporate form to perpetrate fraud while evading statutory obligations." (SAC ¶ 33.)

For pleading purposes, these allegations are sufficient. Asserting the commingling of funds and the use of the corporation as a mere shell are adequate pre-discovery when specific evidence is within Defendants' control. Further, the SAC also pleads an inequitable result by alleging that the individual Defendant David Roebuck used the corporate entity of Roebuck LLC as a direct instrument to "mere shell and instrumentality to conduct personal business" (SAC ¶ 15), provide "high-end finishing services" (*Id*. ¶ 2) to Plaintiff, while "initiated a months-long pattern of deception designed to extract additional work from Plaintiff while avoiding payment obligations." The SAC also alleges that "Defendants received full payment from the property owner for Plaintiff's work on the Project but failed to remit such payments to Plaintiff within the statutory period" (SAC ¶ 30), and that there was "Roebuck Unknown's diversion of contract funds meant for paying Plaintiff" (*Id*. ¶ 92). Taken as true, these allegations suggest an abuse of the corporate form, making the claim sufficient to survive the demurrer. These allegations are sufficient at the pleading stage to state a claim against Defendant David Roebuck and Defendant Roebuck Construction Services, LLC under an alter ego doctrine.

1ST CAUSE OF ACTION—BREACH OF WRITTEN CONTRACT

A breach of contract cause of action requires: (1) a contract, (2) performance by plaintiff under the contract or excuse from performance, (3) defendant's breach, and (4) resulting damage. (*Abdelhamid v. Fire Ins. Exchange* (2010) 182 Cal.App.4th 990, 999.)

Defendants argue that Exhibit A contradicted this claim because it reflects $137,000 paid for a contract value of only $109,822.00, showing that Plaintiff was overpaid. However, the SAC also alleges that "subsequent additional work and approved change orders increased the total contract value," and that these change orders resulted in a final outstanding balance of $142,092.12. (SAC ¶ 27.) A contract in writing may be modified by a contract in writing. (Civ. Code §1698.) Plaintiff alleges that the subsequent change orders are documented in invoices sent on 9/5/23 and 10/4/23, which are attached as Exhibit B. Taking these as true, the total contract value would exceed the $137,000 paid, and there is no contradiction to the claim. Also, because the alter ego allegations are sufficiently pled, a privity of contract extends to the individual

2ND CAUSE OF ACTION—FRAUD

The elements of fraud are (1) misrepresentation of a material fact (consisting of a false representation, concealment or non-disclosure); (2) knowledge of the falsity (i.e., scienter); (3) intent to deceive and induce reliance; (4) justifiable and actual reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445, 481.)

Defendants argue that the fraud claim is not independent of the contract dispute, it repackages nonpayment as fraud, and lack the particularity required. While a contract dispute is generally not an actionable tort, the injured party may recover in both contract and tort when one party commits fraud. (*Robinson Helicopter Co., Inc. v. Dana Corp*. (2004) 34 Cal.4th 979, 990.) Here, Plaintiff alleges that Defendants made "a series of false promises and misrepresentations" on payment, and "falsely confirmed that a check could be deposited" to induce Plaintiff to continue performance without payment. (SAC ¶¶ 31, 51.)

With respect to particularity, elements of fraud must be pled specifically. (*Stanfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) "This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (*Id*., citing *Hill Transp. Co. v. Southwest Forest Industries, Inc*. (1968) 266 Cal.App.2d 702, 707.) General and conclusory allegations of fraud are insufficient. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) A plaintiff must allege what was said, by whom, in what manner (i.e. oral or in writing), when, and, in the case of a corporate defendant, under what authority to bind the corporation. (See *Goldrich v. Natural Y Surgical Specialties, Inc*. (1994) 25 Cal.App.4th 772, 782.)
Here, the SAC identifies specific instances of misrepresentations that the individual Defendant made (on behalf of himself and the corporate entities) on 5/1/23, 6/13/23, 8/28/23, 9/21/23, 12/23/23, concerning check deposit promises and Zelle payment promises. (*See*, SAC ¶¶ 31.) These are allegations of an intentional, deceptive

scheme to defraud Plaintiff to support a tort claim besides a contract dispute and are sufficient to apprise Defendants of the claims.

3RD CAUSE OF ACTION—BUS. AND PROF. CODE § 7108.5

Bus. and Prof. Code § 7108.5 requires a prime contractor to pay a subcontractor “not later than seven days after receipt of each progress payment.” (Bus. and Prof. Code § 7108.5(a).)

Defendants argue that Plaintiff failed to allege the dates or amounts of the owner’s progress payments. Here, the SAC alleges that “Defendants received payment from the property owner” and “failed to remit payment to Plaintiff” within the statutory seven-day window. (SAC ¶ 57.) This is sufficient ultimate facts to state a claim. Defendants also argue that the SAC lumps together the three Defendants and fails to establish which defendant was the contracting prime. However, as alter ego has been sufficiently alleged, this claim survives as to all Defendants.

4TH CAUSE OF ACTION—VIOLATION OF CIV. CODE §8814

Civ. Code §8814 requires a contractor to pay its subcontractors their portion of the retention payments within 10 days of receipt. (Civ. Code §8814(a).)

Defendants argue that this statute “applies only to retention proceeds,” and Plaintiff has improperly demanded the entire alleged outstanding balance of $142,092.12 as “wrongfully withheld” retention. Here, the SAC has alleged that “Defendants received retention payment but failed to pay Plaintiff within the statutory period.” (SAC ¶ 62.) At the pleading stage, this is sufficient. The exact proportion of the outstanding balance that constitutes retention is not an issue to be resolved on demurrer.

6TH CAUSE OF ACTION—UNFAIR BUSINESS PRACTICES (BUS. AND PROF. CODE § 17200 ET SEQ.)

Business & Professions Code §17200 prohibits any business act or practice that is unlawful, unfair, or fraudulent. A cause of action for violating this statute “borrows” actionable conduct and makes it independently actionable under the unfair competition law. (*Smith v. State Farm* (2001) 93 Cal.App.4th 700, 718.) No particularity in pleading is required for a UCL claim. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 46-47 (stating that fraud is the only claim that requires fact-specific pleading).) However, the claim “must be stated with reasonable particularity, which is a more lenient pleading standard than is applied to common law fraud claims.” (*Gutierrez v. Carmax Auto Superstores California* (2018) 19 Cal.App.5th 1234, 1261.) “ ‘[T]o state a claim under the act one need not plead and prove the element of a tort. Instead, one need only show that ‘members of the public are likely to be deceived.’ ” (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1151.)

Defendants argue that the UCL permits only restitution or injunctive relief but not damages or penalties. Defendants also argue that Plaintiff lacks standing because the parties are not competitors and the contract does not pertain to consumers or the public.

Here, there are no allegations of how Defendants' actions in this private payment dispute would cause members of the public to be deceived. On this basis, the court sustains the demurrer.

"The remedies available in a UCL or FAL action are generally limited to injunctive relief and restitution." (*Pfizer, Inc. v. Superior Court* (2010) 182 Cal.App.4th 622, 631.) A party seeking injunctive relief must show the absence of an adequate remedy at law. (*See Department of Fish & Game v. Anderson-Cottonwood Irrigation District* (1992) 8 Cal.App.4th 1554, 1564.)

The UCL provides that "[u]nless otherwise expressly provided, the remedies or penalties provided … are cumulative to each other and to the remedies or penalties available under all other laws of this state." (Bus. & Prof. Code § 17205.) The California Supreme Court has held that claims under the UCL are independent of the underlying statutory claims, and the cumulative equitable remedies may be awarded in addition to other available remedies. (*Cortez v. Purolator Air Filtration Products Co*. (2000) 23 Cal.4th 163, 179-180.) "The fact that there are alternative remedies under a specific statute does not preclude a UCL remedy, unless the statute itself provides that the remedy is to be exclusive." (*State of California v. Altus Finance* (2005) 36 Cal.4th 1284, 1303.) The prompt-payment statutes (Bus. & Prof. Code, §7108.5; Civ. Code, §8814) do not indicate that the remedies provided are intended to be exclusive, and Plaintiff should not be precluded from seeking equitable relief under the UCL in addition to his breach of contract and prompt-payment statutory claims. (*See* Bus. & Prof. Code, § 7108.5; Civ. Code, § 8814.)

Moreover, a plaintiff may assert alternative theories of liability at the pleading stage. (*Mendoza v. Rast Produce Co. Inc.* (2006) 140 Cal.App.4th 1395, 1402.) The UCL is intended to provide a streamlined process to prevent unfair business practices that do not require the plaintiff to plead or prove all elements of the underlying wrongful acts. (*Korea Supply Co. v. Lockheed Martin Corp., supra,* 29 Cal.4th at 1134, 1151.) "Where the exact nature of the facts is in doubt, or where the exact legal nature of plaintiff's right and defendant's liability depend on facts not well known to plaintiff, the pleading may set forth alternative theories in varied and inconsistent counts." (*Rader Co. v. Stone* (1986) 178 Cal.App.3d 10, 29.) Further still, Plaintiff's UCL claim has a purpose independent from the breach of contract and prompt-payment claims – "deterrence of and restitution for unfair business practices." (*Cortez, supra*, 23 Cal.4th at 179.) The deterrence of unfair practices is an important goal of the UCL. (*Korea Supply Co*., *supra*, 29 Cal.4th at 1148.) An injunction under the UCL functions to prevent further unfair business practices, which may harm the general public. Legal remedies are not adequate to serve this purpose.

7TH & 9TH CAUSES OF ACTION—COMMON COUNTS/GOODS SOLD AND DELIVERED

For the 7th cause of action for common counts, Defendants argue that a quasi-contractual claim cannot be alleged to supply terms that the parties have expressly agreed upon. For the 9th cause of action for goods sold and delivered, Defendants argue that a claim for goods sold and delivered (quantum valebant) requires the sale and delivery of tangible goods and so Plaintiff's contract for painting services is inapplicable.

"In California, it has long been settled the allegation of claims using common counts is good against special or general demurrers. [Citation.] The only essential allegations of a common count are '(1) the statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment.'" (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 460.) Plaintiff has done this: he alleges the indebtedness of $142,092.12 (SAC ¶ 75), the consideration of commercial painting and high-end finishing services, and materials provided at the Baekjeong San Jose property (a commercial restaurant) (*Id*. ¶¶ 73, 74), and nonpayment (*Id*. ¶¶ 75, 77). Nothing further is required.

Defendants' reliance on *Lake v. Wyatt Earp Enterprises, Inc*. (1962) 210 Cal.App.2d 366 is misplaced. In *Lake*, the court defines a quantum valebant count as the vehicle for a contract implied in law. (*Lake v. Wyatt Earp Enterprises, Inc*., supra, 210 Cal.App.2d at 370.) Such a claim arises when "the defendant 'has used for its benefit any property of [plaintiff] ... in such manner and under such circumstances that the law will impose a duty of compensation therefor.' " (*Ibid*.) Nothing in *Lake* suggests that a common count for quantum valebant is limited to *tangible* goods. On the contrary, *Lake* concerns only *intangible* assets, including a writer's research, formats, and characterization. This case actually undermines Defendants' position. Defendants cite to no authority that the count is limited to tangible "goods" in the traditional sense.

8TH CAUSE OF ACTION—BREACH OF ORAL CONTRACT

Defendants argue that the oral contract claim fails for the same reasons as the written contract claim (1st cause of action).

For the same reasons set forth under the 1st cause of action, the court overrules the demurrer to this claim. Plaintiff can allege an alternative theory of liability under oral agreements, and that the SAC alleges subsequent oral agreements and change orders that increased the contract price to $142,092.12 (SAC ¶¶ 27, 80-83).

10TH CAUSE OF ACTION—OPEN BOOK ACCOUNT

"A 'book account' is defined as a '"detailed statement, kept in a book, in the nature of debit and credit, arising out of contract or some fiduciary relation." It is, of course, necessary for the book to show against whom the charges are made. ... It must also be made to appear in whose favor the charges run.' [Citations.] A book account may furnish the basis for an action on a common count '"... when it contains a statement of the debits and credits of the transactions involved completely enough to supply evidence from which it can be reasonably determined what amount is due to the claimant."" *Interstate Group Administrators, Inc. v. Cravens, Dargan & Co.* (1985) 174 Cal.App.3d 700, 708 (footnote omitted). A common count is sufficiently pled whenever the plaintiff claims a sum of money due, either as an indebtedness in a sum certain, or for the reasonable value of services, goods, etc., furnished. *Ferro v. Citizens Nat. Trust & Savings Bank* (1955) 44 Cal.2d 401. The essential allegations of any common count is that (1) defendant is indebted to plaintiff in a certain sum; (2) for some consideration from plaintiff such as services, goods, or money had and received; and (3) that no part of the sum has been paid. *Pike v. Zadig* (1915) 171 Cal. 273, 275.

Defendants argue that Plaintiff alleges no open book account because the debt arises from an express contract, and the SAC does not allege any separate agreement to treat the debt as an open account. Here, the SAC alleges that, in exchange for the painting services (SAC ¶ 43), "the Defendants and each of them became *indebted* to Plaintiff for an open book account in the sum of $142,092.12." (*Id*., ¶ 87.) It further alleges that Defendants "still fail and refuse to pay said sum or any part thereof, and there is now due, owing and *unpaid* from Defendants to Plaintiff in the sum of $142,092.12…" (*Ibid*.) This is sufficient.

11TH CAUSE OF ACTION—ACCOUNT STATED

An action on an account stated is not founded on original terms, but on a balance agreed due by the parties, and is on a new contract wherein the parties have compromised and reached an agreement. (*Gleason v. Klamer* (1980) 103 Cal.App.3d 782, 786-787; see also, *Klein-Simpson Fruit Co. v. Hunt, Hatch & Co.* (1924) 65 Cal.App. 625, 633; *Jones v. Wilton* (1938) 10 Cal.2d 493, 498 [the new contract supersedes the original contract].)

As to the account stated, the SAC does allege that a *new* agreement was formed. Plaintiff alleges that "the Defendants and Plaintiff state an account wherein said account stated and disclosed that Defendants were indebted to Plaintiff in the sum of $142,092.12." (SAC ¶ 89.) This alleges a *new* agreement was formed that differs from the original painting agreement initially valued at 95,000. (*Id*., ¶ 25.) This is sufficient to survive a demurrer. Whether the parties mutually agreed to the balance or entered into a new agreement is a question of fact that cannot be resolved on a demurrer. (*Ibid*.)

12TH CAUSE OF ACTION—RECOVERY OF LICENSE BOND

Under Business and Professions Code §7071.5(c), any person damaged as a result of a licensee's "willful and deliberate violation" of the licensing laws may bring an action on the contractor's bond.

Defendants argue that the license bond claim is invalid because Defendants are not sureties and cannot be held liable. However, CCP §996.430(a) explicitly states that in a civil action to enforce liability on a bond, "[b]oth the principal and the sureties shall be joined as parties to the action." Plaintiff, therefore, was required to name the contractor principal in this claim. Plaintiff has also alleged a "willful and deliberate violation of the licensing laws." (SAC ¶ 91.) As alter ego has been sufficiently alleged, this claim survives as to all Defendants.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2600932	DAVIS VS DRIVE INSURANCE COMPANY	DEMURRER ON COMPLAINT

Tentative Ruling: Defendant, Drive Insurance Company's Demurrer, as to the 1st and 2nd Causes of action is sustained with leave to amend within 20 days.

A demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal. 3d 120,125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law (*Daar v. Yellow Cab Company* (1967) 67 Cal. 2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.)

A demurrer on the ground of uncertainty of pleading may lie "if the pleading is so incomprehensible that a defendant cannot reasonably respond. [Citation.]" (*Mahan v. Charles W. Chan Insurance Agency, Inc.* (2017) 14 Cal.App.5th 841, 848, fn. 3.) "Where a demurrer is made upon ground of uncertainties, it must distinctly specify exactly how or why the pleading is uncertain, and where such uncertainty appears. (*See Fenton v. Groveland Comm. Services Dist.* (1982) 135 Cal.App.3d 797, 809.)

FIRST CAUSE OF ACTION – BREACH OF CONTRACT.

Defendant demurs on the cause of action for breach of contract on the ground that Plaintiff fails to set forth the terms of the contract or attach a copy of the contract which was allegedly breached by Defendant. On that basis, Defendant argues that Plaintiff fails to allege facts sufficient to state a cause of action for breach of contract. Defendant also argues that the Complaint alleges the existence of two contracts: the insurance policy and the settlement agreement, but it is unclear from the Complaint which of the contracts was breached by Defendant.

The Complaint fails to state a cause of action for breach of contract. The elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. (*Miles v. Deutsche Bank National Trust Co*. (2015) 236 Cal.App.4th 394, 402.) Here, as Defendant argues, the existence of a contract has not been sufficiently plead.

As one method of pleading the existence of a contract, "[a] written contract may be pleaded either by its terms- set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference- or by its legal effect." (*Heritage Pacific Financial, LLC v. Monroy* (2013) 215 Cal.App.4th 972, 993.)

Alternatively, a plaintiff may plead the legal effect of the contract rather than its precise language, as long as the allegations are sufficient to establish a prima facie right to relief. (*Construction protective Services, Inc. v. TIG Specialty Ins. Co*. (2002) 29 Cal.4th 189, 199 [contract satisfactorily alleged that the insurance policy obligated defendant to defend and indemnify plaintiff against suits seeking damages and that, under the terms of the policy, a third party's claim of setoff fell within the scope of the contractual obligation].) Here, Plaintiff has done neither. Therefore, Plaintiff has not alleged the existence of a contract.

Also, the Complaint is uncertain. As Defendant argues, the Complaint alleges the existence of two contracts: the insurance policy and the settlement agreement, but the allegations are insufficient to discern on which Plaintiff's claim is based. On that basis, Defendant argues that the pleading is uncertain. Plaintiff argues that he is alleging that Defendant is in breach under both the insurance policy and the settlement agreement. However, as set forth above, Plaintiff has failed to allege the existence of a contract by either setting forth its terms, describing its legal effect, or simply attaching a copy to the Complaint.

SECOND CAUSE OF ACTION – BREACH OF IMPLIED COVENANT OF GOOD FAITH

"Bad faith claims are based on the contractual covenant of good faith and fair dealing." (*San Diego Housing Com'n v. Industrial Indem. Co. (*1998) 68 Cal.App.4th 526, 544.) The covenant of good faith and fair dealing is implied by law in all contracts, including policies of insurance. (*Comunale v. Traders & General Ins. Co*. (1958) 50 Cal.2d 654, 658.) However, where there is no breach of contract found, there is no grounds for finding a breach of the covenant. (*San Diego Housing Com'n v. Industrial Indem. Co., supra,* 68 Cal.App.4th at 544.) Here, for reason Plaintiff has failed to sufficiently allege a cause of action for breach of contract, this claim also necessarily fails.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2601678	AKIROV VS RIVIAN AUTOMOTIVE, INC.	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Defendant Rivian Automotive, Inc.'s Motion to Compel Arbitration is denied.

Defendant's request for judicial notice of Plaintiff's Complaint is granted.

The court must grant the petition to compel arbitration unless it finds either: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement, or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (Cal. Rules of Court, rule 3.1330; see *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-219.) This rule does not require the petitioner to authenticate the agreement or do anything more than allege its existence and attach a copy. (*Condee, supra,* 88 Cal.App.4th at 218-219.) Once this is done, the burden shifts to the opposing party to demonstrate the falsity of the purported agreement. (*Id.*)

In determining whether to grant a motion to compel arbitration. the trial court is presented with two gateway issues of arbitrability: (1) whether there is an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue. (*Howsam v. Dean Witter Reynolds, Inc*. (2002) 537 U.S. 79, 84.) Under both federal and state statute, the threshold question when presented with a petition to compel arbitration is whether there is an agreement to arbitrate. (*Cheng-Canindin v. Renaissance Hotel Associates* (1996) 50 Cal.App.4th 676, 684; See 9 USC §2; Code Civ. Proc., §1281.) Here, Defendant has not made the threshold showing that a valid arbitration agreement exists between Defendant and Plaintiff either under a direct contractual relationship or under the doctrine of equitable estoppel.

Plaintiff does not dispute executing the Agreement on August 12, 2024. Plaintiff also does not dispute that the FAA applies. Indeed, the Agreement states, “This arbitration agreement is entered into pursuant to the Federal Arbitration Act, 9 U.S.C. §§ 1-16.” (Agreement, pg. 7.) As the Agreement provides for the FAA to govern, then it governs. (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.App.4th 376, 394; *Aviation Data, Inc. v. American Express Travel Related Services Company, Inc.* (2007) 152 Cal.App.4th 1522, 1534-1535.)

Plaintiff’s sole contention is whether the Agreement covers Plaintiff’s claims.

Defendant argues Plaintiff’s claims fall squarely within the scope of the arbitration clause. Conversely, Plaintiff contends his claims do not arise from and are not intertwined with the Agreement and thus falls outside the scope of arbitration, citing to *FMWC, supra,* 17 Cal.5th 1122.

The burden is on the party opposing a petition to compel arbitration to show the arbitration agreement cannot be interpreted to cover the dispute in question. (*Buckhorn v. St. Jude Heritage Medical Group* (2004) 121 Cal.App.4th 1401, 1406.)

Defendant maintains it directly contracted with Plaintiff such that it can enforce the arbitration clause. Defendant is incorrect. For the first time in reply, Defendant submitted testimony that it does not have third-party dealerships that handle the leasing or selling of its vehicles and that “[t]he names Rivian, LLC and Rivian Automotive, Inc. both refer to the same wholly entity.” (Ameripour Supp. Decl., ¶2.)

First, under general rules of motion practice, new evidence is not permitted with reply papers and is only allowed in exceptional cases. (See *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.) This rule and the principles behind it apply particularly where the circumstances or evidence were known to the party or attorney when their original motion was filed. (*Maleti v. Wicikers* (2022) 82 Cal.App.5th 181, 227-228.) As the party moving to compel arbitration, Rivian has the initial burden to show an agreement to arbitrate exists. (*Espejo v. Southern California Permanente Medical* Group (2016) 246 Cal.App.4th 1047, 1060.) It is clear from Ameripour's supplemental declaration that Defendant knew the information supplied when it filed its motion but for some reason chose to omit it and waited to provide it in reply. Rivian Automotive, Inc. is not a party to the contract.

Second, even if the Court were to consider Ameripour's supplemental declaration, it is still insufficient to establish Defendant is a party to the lease contract. Plaintiff executed the Agreement with "Rivian LLC – Eastvale". Ameripour's supplemental declaration fails to establish that Rivian LLC – Eastvale is the same as the named Defendant in this lawsuit, Rivian Automotive, Inc. Thus, there is no evidence that Defendant is a party to the Agreement that Plaintiff executed.

The general rule is that one must be a party to an arbitration agreement either to be bound by or to invoke it. (*FMWC, supra,* 17 Cal.5th at 1128.) Moreover, nothing in the Agreement between Plaintiff and Rivian LLC – Eastvale expressed an intent to empower third parties to invoke the arbitration clause. The Agreement states:

> You and we agree that upon the election of either of us, any claims or disputes relating in any way to your lease account or transactions will be resolved by binding arbitration as discussed below, and not through litigation in any court (except for matters in small claims court)…Claims are subject to arbitration, regardless of what theory they are based on or whether they seek legal or equitable remedies. Arbitration applies to any and all such claims or disputes, whether they arose in the past, may currently exist, or may arise in the future…*Claims in arbitration will proceed on an individual basis, on behalf of the named parties only.*

(Agreement, pg. 7, emphasis added.)

Based on the foregoing, the Agreement here only allows the contractual parties, Plaintiff and Rivian LLC – Eastvale, to arbitrate. Because there is no contractual relationship between Plaintiff and Defendant, Defendant cannot enforce the arbitration clause in the Agreement.

Moreover, Defendant has not provided any basis for the Court to find that it may, as a non-signatory, invoke the arbitration clause in the Lease Contract under the doctrine of equitable estoppel. The doctrine of equitable estoppel, in the arbitration context, applies to preclude a party from asserting rights under an agreement "when [that] party has signed an agreement to arbitrate but attempts to avoid arbitration by suing nonsignatory defendants for claims that are based on the same facts and are inherently inseparable from arbitrable claims against signatory defendants." [Citations.] (*Metalclad Corp. v. Ventana Environmental Organizational Partnership* (2003) 109 Cal.App.4th 1705, 1713, internal quotation omitted.).

A court can find that equitable estoppel applies to an arbitration agreement either or two ways: "the claims the plaintiff asserts against the nonsignatory must [1] be dependent upon, or [2] founded in and inextricably intertwined with, the underlying contractual obligations of the agreement containing the arbitration clause." (*Goldman v. KPMG, LLP* (2009) 173 Cal.App.4th 209, 219, italics added.)

Here, by entering the Lease Contract, the lessor and lessee agreed that "any claims or disputes relating in any way to [the] lease account or transactions" will be resolved by arbitration. There is no language in the Lease Contract suggesting that Plaintiff's warranty claims or statutory claims under Song-Beverly Act relies on the Lease Contract in any way. It cannot be said that Plaintiff's claims rely on the underlying agreement that contains the arbitration clause merely because the underlying agreement is a "necessary step" in effectuating the warranty relationship between the nonsignatory manufacturer and the Plaintiff; rather, actual reliance is required. (*Id*. at 231; *Ngo v. BMW of North America, LLC* (9th Cir. 2022) 23 F.4th 942, 949 [the manufacturer's obligations to the buyer under the warranty arose independently of her agreement with the dealership].) This means, just because the manufacturer provided the buyers (or lessor in this case) with an express warranty as a result of the sale (or lease), that does not mean the manufacturer's obligation to provide a non-defective vehicle under its separate warranty is "in any way founded on an obligation imposed by the sales contract or is intertwined with those obligations." (*Ibid*.)

Plaintiff does not rely on the Lease Contract in asserting his claims against Defendant for the alleged defects in the subject vehicle, which, instead, are based on the breach of express warranty between the buyer and manufacturer under the Song-Beverly Act. Hence Plaintiff's claims are neither interdependent nor intertwined with the obligations of the Lease Contract for Plaintiffs to be equitably estopped from resisting Defendant's attempt to compel arbitration. The rights and obligations of the parties to the Lease Contract only relate to the terms of the lease, including the total lease payment and the Lessee's obligations to make monthly payments, and the Lessor's rights and remedies in the event of Lessee's default, along with information regarding insurance, and cancellation rights.

Even assuming a valid arbitration agreement exists between Plaintiff and Defendant, the agreement cannot be read to cover Plaintiff's claims alleged in the Complaint. The wording of the arbitration agreement should determine whether it applies to a particular dispute. (*See Rebolledo v. Tilly's, Inc.* (2014) 228 Cal.App.4th 900, 913 [the parties' intention is determined from the writing alone (Civ. Code, §1639)].) The burden is on the party opposing a petition to compel arbitration to show the arbitration agreement cannot be interpreted to cover the dispute in question. (*Buckhorn v. St. Jude Heritage Medical Group* (2004) 121 Cal.App.4th 1401, 1406.) Here, the arbitration clause in question cannot be read so broadly to include any dispute arising out of or relating to any aspect of the relationship between Plaintiff and Defendant. In fact, the Lease Contract specifies that "the Vehicle is subject to the manufacturer's standard new car warranty," which can be read to mean that warranties are covered separately by the manufacturer. Furthermore, the Lease Contract explicitly disclaims any implied warranties, including “the warranties of merchantability or fitness for a particular purpose, except where prohibited by law.”